OCAD - ONE COMPANY A DAY

SERIES: AUTOMOTIVE

Tesla, Inc.

TSLA | NASDAQ

USD 382.70 per share

Closing price, Friday 9 October 2026, latest completed trading day



TSLA daily closing price, 10 July 2026 to 9 October 2026, USD per share.
Source: Alpha Vantage daily series, cross-checked with StockAnalysis.

REPORT DATE	ANALYST	SERIES	EXCHANGE
12 October 2026	Arthur Faugeron	Automotive	NASDAQ

Executive Summary

Tesla is a vehicle and energy-storage manufacturer whose share price capitalises it at roughly USD 1.51 trillion, or 14.3 times trailing revenue and about 138 times trailing EBITDA, while trailing operating margin has fallen to 4.1%. The market is paying for autonomy, robotics and software outcomes that do not yet appear in reported cash flows.

Business

Tesla designs, builds and sells electric vehicles and stationary battery systems, and earns recurring revenue from services, charging, insurance and software. In fiscal 2025 automotive revenue was USD 69.5bn (73% of USD 94.8bn), energy generation and storage USD 12.8bn (13%) and services and other USD 12.5bn (13%); the United States contributed 50.2% of revenue and China 22.1%.

Financial Condition

Revenue for the twelve months to June 2026 was USD 103.6bn, up 11.8% on fiscal 2025 after the first annual decline in the company’s history (down 2.9% in 2025). Trailing EBITDA is USD 10.8bn and operating income USD 4.3bn (4.1% margin), net income USD 3.8bn, while fiscal 2025 operating cash flow was USD 14.7bn and free cash flow USD 6.2bn. Cash and short-term investments of USD 44.1bn exceed debt and leases of USD 14.7bn, a net cash position of USD 29.3bn at year-end 2025.

Market Position

Direct competitors are General Motors, Ford, Toyota and BYD in vehicles, and a fragmented set of integrators in grid storage. Tesla’s advantage is vertical integration, a software-defined fleet and an energy business with a 29.8% segment gross margin; its weakness is a vehicle segment margin of 16.2% that is falling while BYD and legacy manufacturers close the product gap.

Valuation

At USD 382.70 the market capitalisation is USD 1.51 trillion and enterprise value USD 1.48 trillion. Trailing P/E is 354 times on fiscal 2025 diluted EPS of USD 1.08 (the data provider shows 397 times on a different earnings base), EV/EBITDA is 138 times, P/FCF is 262 times and P/S is 14.6 times, compared with 10.7 times EV/EBITDA for General Motors and 12.1 times for Toyota.

Investment Framework

WHAT IS ATTRACTIVE	Net cash of USD 29.3bn, record quarterly deliveries of 486,532 in the third quarter of 2026, energy storage deployments of 13.7 GWh, and a services line growing 50% year on year in the second quarter.
WHAT IS CONCERNING	Operating margin fell from 16.8% in 2022 to 4.6% in 2025, second-quarter 2026 free cash flow was negative USD 1.1bn, and 2026 capital expenditure is guided above USD 25bn against fiscal 2025 operating cash flow of USD 14.7bn.
WHAT MUST GO RIGHT	Autonomy, robotaxi and humanoid robot revenues must emerge at scale and carry software-like margins, while the vehicle business holds roughly 17% gross margin without regulatory credits.
WHAT COULD BREAK THE THESIS	A sustained fall in vehicle margins, regulatory delay or liability events for driver-assistance software, loss of regulatory credit income, or capital spending that fails to convert into earnings.
PRICED IN	The modelled cash flows of the existing business support USD 11 to USD 117 per share across bear to bull cases; the balance of the USD 382.70 price reflects optionality outside the modelled core.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Scale manufacturing, direct sales, charging network and a growing energy line, but earnings quality has declined since 2022.
Financial quality	Moderate. Net cash and positive free cash flow, but margins are thin and capital intensity is rising.
Competitive position	Moderate to strong. Brand, software and cost position are real, but price competition has compressed margins.
Growth profile	Re-accelerating on volume (revenue up 11.8% trailing) with margins lagging; long-run growth depends on new product categories.
Balance-sheet risk	Low. Debt of USD 14.7bn is 1.4 times EBITDA and more than covered by cash.
Valuation	Extremely optimistic against modelled cash flows of the existing business.
Market and technical profile	Very high volatility (annualised 39.8% over one year, beta 1.84); price sits above its 50-day and below its 200-day average.

Source: analyst assessment based on the data in this report.

A. About the Business

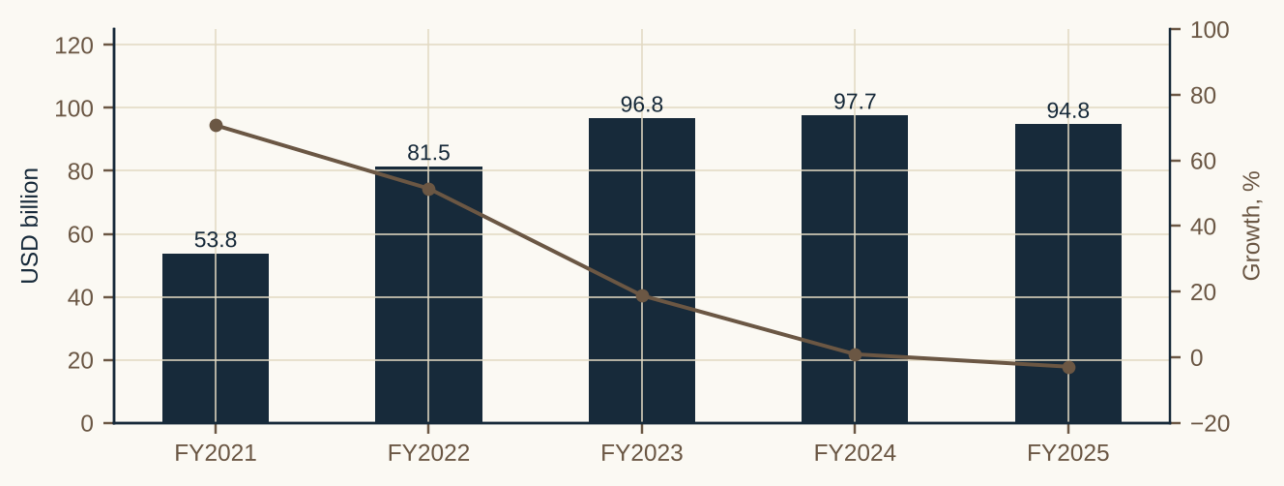
A1. Business Environment

Tesla operates in two linked industries. The first is passenger and light commercial vehicle manufacturing, a mature, capital-intensive and cyclical industry that is in the middle of a technology transition from combustion to battery power. Value is created across a chain of cell and materials suppliers, vehicle assembly, distribution and financing, and after-sale service. Gross margins for volume manufacturers are typically in the single digits to low teens, so Tesla's 18.0% fiscal 2025 gross margin is high for the industry, while the 4.6% operating margin is closer to peers once research, software and sales costs are included.

The second industry is stationary energy storage, a growing market driven by grid reliability, renewable integration and data-centre power demand. Tesla's energy segment generated USD 12.8bn of revenue in 2025, up 26.6%, at a 29.8% segment gross margin, which makes it more profitable per dollar of revenue than the vehicle segment. Industry-wide size and growth statistics were not retrieved from a primary source for this report and are therefore not quoted.

Cyclicality is meaningful: vehicles are financed purchases, so demand responds to interest rates and incentives. The 10-year Treasury yield was 5.22% on 8 October 2026, which raises the cost of consumer financing. Regulation shapes demand directly; the fiscal 2025 annual report identifies the removal of United States electric vehicle tax credits and restrictions on regulatory credit programmes as risks, and regulatory credit revenue fell 27.9% to USD 2.0bn in 2025.

Revenue and revenue growth, fiscal 2021 to 2025



Source: Tesla annual reports via StockAnalysis (S&P Global Market Intelligence). Units: USD billion (bars) and percent year on year (line).

INDUSTRY STAGE: MATURE AND STRUCTURALLY TRANSFORMING

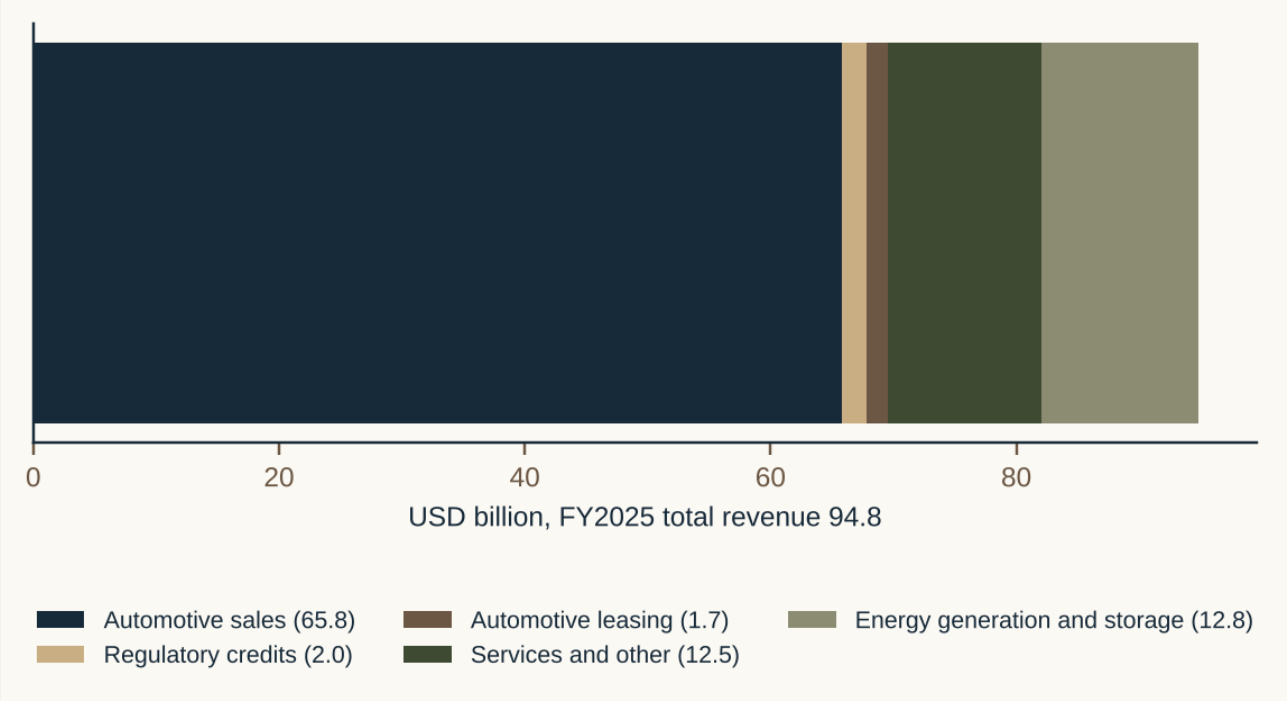
> Vehicles are a mature, cyclical industry that is being restructured by electrification, Chinese cost leadership and software. Energy storage is in a growth stage. Tesla straddles both, which explains why its financial profile resembles an industrial company while its valuation resembles a software platform.

A2. What Does the Company Do?

Tesla designs, manufactures and sells electric vehicles (Model 3, Model Y, Model S, Model X, Cybertruck and Semi), battery energy storage systems (Powerwall, Megapack), and related services. It operates manufacturing sites in California, Texas, Nevada, New York, Shanghai and Berlin, and employed 134,785 people at year-end 2025. Vehicles are sold mainly directly to customers through company stores and online, which avoids dealer margin and gives Tesla control over pricing.

Fiscal 2025 revenue of USD 94.8bn came from automotive sales (USD 65.8bn), regulatory credits (USD 2.0bn), automotive leasing (USD 1.7bn), services and other (USD 12.5bn, including used vehicles, service, charging, insurance and merchandise) and energy generation and storage (USD 12.8bn). Vehicle and energy sales are largely non-recurring transactions, while services, charging and software provide a recurring layer that grew 19.0% in 2025 and 50% in the second quarter of 2026.

Revenue by source, fiscal 2025



Source: Tesla Form 10-K for fiscal 2025, as summarised by sec-api.io. Units: USD billion.

How one dollar of revenue is used

Of each dollar of fiscal 2025 revenue, 82 cents went to cost of revenue, 6 cents to selling, general and administrative expense, 7 cents to research and development, and 0.5 cents to other operating items, leaving 4.6 cents of operating income. Interest income of 1.8 cents and a tax charge of 1.5 cents bring net income to 4.0 cents. Operating cash flow of 15.6 cents less capital expenditure of 9.0 cents leaves free cash flow of 6.6 cents per dollar.

1. CUSTOMER
Consumers, fleets, utilities and developers; United States 50.2% of revenue, China 22.1%, other markets 27.7%

2. PRODUCT AND SERVICE
Vehicles, Megapack and Powerwall storage, service, charging, insurance, software

3. REVENUE
USD 94.8bn in 2025: automotive 73%, energy 13%, services 13%

4. COSTS
82.0 cents per dollar of cost of revenue; 13.4 cents of operating expense

5. OPERATING PROFIT
4.6 cents per dollar in 2025; USD 4.4bn

6. CASH FLOW
Operating cash flow USD 14.7bn; free cash flow USD 6.2bn

7. CAPITAL ALLOCATION
Capex USD 8.5bn in 2025; 2026 guided above USD 25bn; no dividend or buyback

The most economically important parts of the model are vehicle gross margin (a one percentage point change on USD 82bn of automotive segment revenue is worth about USD 0.8bn), the growth of the energy business at a near 30% gross margin, and the capital intensity of the new product lines.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Panasonic and CATL	Principal battery cell suppliers named in the 10-K	Cells are the largest single component of vehicle and storage cost; dual sourcing limits supply risk.
Thousands of other suppliers	Components, materials and equipment	The filing describes thousands of suppliers globally, so no single non-battery supplier is described as critical.
Consumers and fleets	Direct sales, leasing and subscriptions	Direct sales remove dealer margin but put inventory and pricing risk on Tesla.
Utilities and developers	Megapack and Powerwall buyers	Larger, project-based contracts with higher gross margin (29.8% segment margin in 2025).
Supercharger network and service centres	Owned infrastructure	Drives services revenue (USD 12.5bn) and customer retention.
Manufacturing sites	Texas, California, Nevada, New York, Shanghai, Berlin	Local production reduces tariff and logistics exposure; China contributes 22.1% of revenue.
Equity investments	Holding in SpaceX recorded in Q2 2026	Produced a USD 1.0bn unrealised gain in the quarter that inflates GAAP net income relative to operations.

Source: Tesla Form 10-K fiscal 2025; Tesla second quarter 2026 earnings release; sec-api.io summary of the 10-K.

A4. Competition

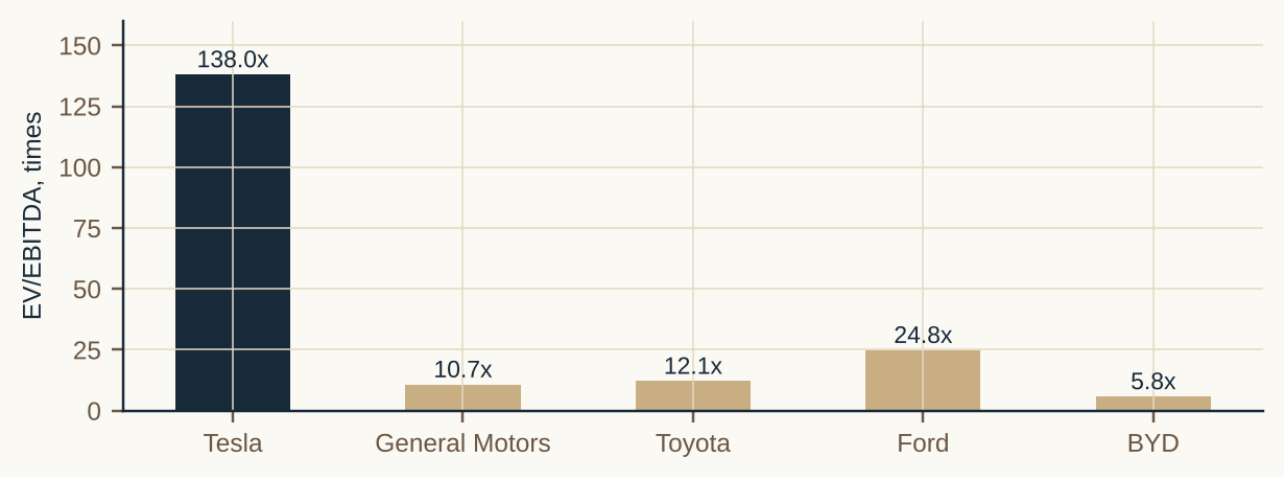
Peers were chosen because they compete for the same customers and capital. General Motors and Ford are the largest United States rivals in vehicles and trucks. Toyota is the global volume and hybrid leader. BYD is the largest battery-electric manufacturer by volume and the principal price competitor in China and in export markets.

COMPETITIVE COMPARISON, TRAILING TWELVE MONTHS

Company	Revenue, bn	Op. margin	EV/EBITDA	Net debt, bn	Currency
Tesla	103.6	4.1%	138.0x	(27.5)	USD
General Motors	185.5	5.5%	10.7x	104.1	USD
Ford	188.0	0.9%	24.8x	141.2	USD
Toyota	319.7	7.1%	12.1x	188.3	USD
BYD	897.6	5.2%	5.8x	(3.2)	HKD

Source: StockAnalysis statistics pages, 11 to 12 October 2026. Brackets denote net cash. Net debt for General Motors, Ford and Toyota includes captive finance debt, which inflates their leverage relative to Tesla. BYD is shown in Hong Kong dollars and is not converted.

Enterprise value to EBITDA, Tesla and selected peers



Source: StockAnalysis, 11 to 12 October 2026. Units: multiple of trailing EBITDA.

General Motors sells trucks, SUVs and electric vehicles mainly in North America, with scale of USD 185.5bn of revenue but a 5.5% operating margin and a captive finance arm. Ford has similar scale and a 0.9% operating margin, with losses in its electric vehicle unit. Toyota is the benchmark for manufacturing efficiency, with a 7.1% operating margin and a hybrid-led strategy. BYD has the cost advantage in batteries and vertical integration and is the main threat in price-sensitive markets. Indirect and substitute competition comes from hybrids, public transport and used vehicles; in energy storage, Tesla competes with Chinese integrators and specialist storage companies, whose financials were not retrieved for this report.

A5. Competitive Differences

Tesla’s structural advantages are vertical integration (cells design, software, charging), direct sales that avoid a dealer network, a large installed fleet that generates driving data, and a brand that sustained an 18.0% gross margin in 2025 when most manufacturers earn 7 to 10%. The energy business adds a second product with a 29.8% segment gross margin and 26.6% growth. These advantages are partly temporary: total gross margin fell from 25.6% in 2022 to 18.0% in 2025 and the automotive segment margin was 16.2% (15.4% excluding regulatory credits), which shows that pricing power has eroded as competitors reached similar products at lower prices.

Disadvantages include dependence on one executive, concentration in two markets (the United States and China are 72.3% of revenue), exposure to regulatory credit policy, rising research and development spending (6.8% of revenue, up from 3.8% in 2022), and an operating margin of 4.6% that leaves little buffer against price competition.

MOAT ASSESSMENT: MODERATE

> The moat is real in manufacturing cost, charging infrastructure and software integration, but it has not prevented a decline in gross margin from 25.6% to 18.0% in three years. A moat that sustains pricing is Strong; a moat that is being competed away at the margin is Moderate. The energy business and autonomy are the potential sources of a stronger moat but are not yet proven in reported profits.

A6. Industry Trend

Vehicle industry growth is mature and cyclical, with electrification the structural trend and price competition, especially from Chinese manufacturers, the dominant near-term force. Tesla's own revenue grew 51.4% in 2022, 18.8% in 2023, 0.9% in 2024 and fell 2.9% in 2025, before recovering to 11.8% on a trailing basis as deliveries reached 480,126 in the second quarter of 2026 (up 25%) and 486,532 in the third quarter. Energy storage is a growth industry: Tesla deployed 13.5 GWh in the second quarter (up 41%) and 13.7 GWh in the third.

Structural trends are electrification, software-defined vehicles and grid storage demand. Temporary conditions are incentive changes, interest rates and tariffs. The trend would reverse if interest rates stay high enough to suppress vehicle financing, if tax credit removal reduces United States demand, or if price competition compresses margins further.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Elon Musk	Co-founder, Chief Executive Officer and director (Technoking)	Leads product, engineering and strategy; also leads other companies, which divides his time.
Vaibhav Taneja	Chief Financial Officer	Responsible for finance, accounting and capital markets.
Xiaotong (Tom) Zhu	Senior Vice President, Asia Pacific and Global Vehicle Manufacturing	Runs the manufacturing and sales network in Asia and global vehicle production.
Franz von Holzhausen	Chief Designer	Leads vehicle design.
Brandon Ehrhart	General Counsel and Corporate Secretary	Legal and governance.

Source: StockAnalysis company profile, October 2026; Tesla Form 10-K fiscal 2025. Biographical detail beyond titles was not retrieved from a primary source.

Management behaviour is best judged from capital allocation. Tesla pays no dividend and has not repurchased shares; the diluted share count rose from 3,386m in 2021 to 3,537m on a trailing basis, an increase of 4.5%, and basic shares outstanding in the latest provider data are 3.95bn against 3.75bn at the end of 2025, with the cause not retrieved. Stock-based compensation was USD 2.8bn in 2025 (3.0% of revenue), which is material against free cash flow of USD 6.2bn. Capital expenditure is moving from USD 8.5bn in 2025 to above USD 25bn guided for 2026, a tripling that the company funds from a USD 43.5bn cash balance. Insider ownership is 28.5% according to the data provider, which aligns the chief executive with shareholders but concentrates control. Guidance accuracy cannot be assessed because the company does not publish numeric earnings guidance; the stated priority is maximum factory utilisation, with Semi, Megapack 3 and Optimus production planned for 2026.

B. Evaluation

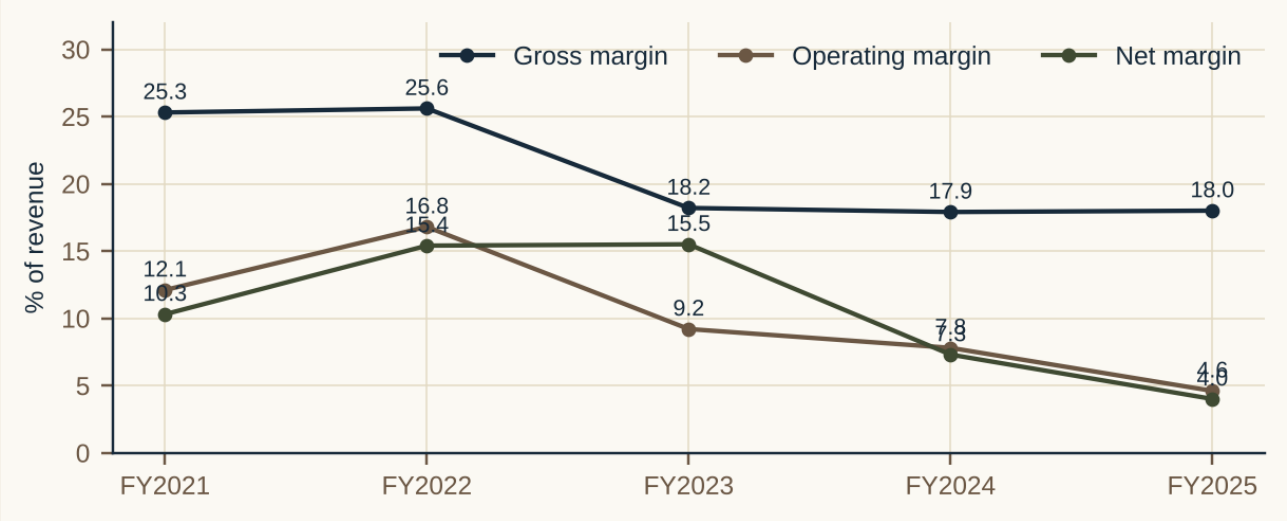
B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS, FISCAL YEARS TO 31 DECEMBER

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Gross margin	25.3%	25.6%	18.2%	17.9%	18.0%
Operating margin	12.1%	16.8%	9.2%	7.8%	4.6%
EBITDA margin	17.5%	21.2%	14.0%	13.3%	11.1%
Net margin	10.3%	15.4%	15.5%	7.3%	4.0%
Return on equity	n/a	33.6%	27.9%	10.5%	4.9%
Return on invested capital	n/a	43.6%	19.7%	13.0%	6.7%
Return on assets	n/a	17.4%	15.9%	6.2%	2.9%

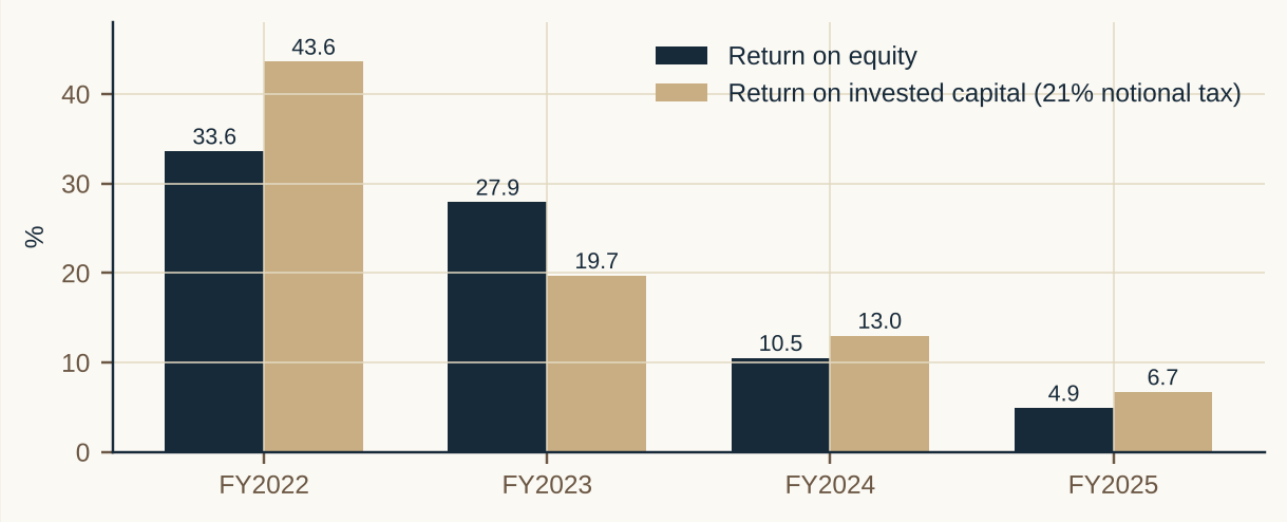
Source: Tesla annual reports via StockAnalysis. Margins and returns are calculated from reported figures. ROE uses average common equity; ROIC uses operating income taxed at a notional 21% divided by average equity plus debt and leases less cash and short-term investments. 2023 net margin includes a USD 5.0bn tax benefit from a valuation allowance release.

Gross, operating and net margin, fiscal 2021 to 2025



Source: Tesla annual reports via StockAnalysis; calculated. Units: percent of revenue.

Return on equity and return on invested capital, fiscal 2022 to 2025



Source: Tesla annual reports via StockAnalysis; calculated. Units: percent.

Returns have fallen by roughly 85% from the 2022 peak because margins halved while the capital base more than doubled (invested capital rose from USD 21.4bn to USD 52.8bn). That is the core financial message: Tesla's reported growth has required more capital per dollar of profit. Net income in 2023 was inflated by a tax benefit and in 2025 by interest income of USD 1.7bn on the cash pile, which is 32% of pretax income.

GROWTH, EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue growth	70.7%	51.4%	18.8%	0.9%	(2.9%)
Asset turnover, times	n/a	1.1	1.0	0.9	0.7
Inventory days	52	77	63	55	58
Receivable days	14	14	14	17	18
Payable days	91	92	67	57	63
Cash conversion cycle, days	(25)	(1)	10	15	14
Debt to EBITDA, times	0.9	0.3	0.7	1.0	1.4
Interest coverage, times	17.6	71.7	57.0	21.9	12.9
Operating cash flow to net income, times	2.1	1.2	0.9	2.1	3.9
Free cash flow margin	9.3%	9.3%	4.5%	3.7%	6.6%
Capex to revenue	12.1%	8.8%	9.2%	11.6%	9.0%

Source: Tesla annual reports via StockAnalysis; all ratios calculated. Debt includes lease liabilities. Interest coverage is operating income divided by interest expense.

Compound annual growth from fiscal 2021 to 2025 was 15.2% for revenue, 2.7% for EBITDA, 5.7% for free cash flow and negative 9.8% for diluted EPS. Revenue growth has therefore not been profitable growth: EBITDA grew at one fifth the pace of revenue. The cash conversion cycle moved from 25 days negative to 14 days positive, meaning supplier financing has shrunk relative to working capital needs.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Valuation compression	High	Very high	At 138 times EBITDA a normalisation to peer multiples would reduce enterprise value by an order of magnitude; the price depends on unproven businesses.
2	Vehicle margin erosion	High	High	Total gross margin fell from 25.6% in 2022 to 18.0% in 2025 and the automotive segment earned 16.2%; Chinese competitors price below Tesla.
3	Capex that does not earn a return	Medium	High	Capital spending above USD 25bn in 2026 exceeds operating cash flow; Q2 2026 free cash flow was negative USD 1.1bn.
4	Regulatory and credit policy	Medium	High	Removal of tax credits and restricted credit programmes; credit revenue fell 27.9% to USD 2.0bn.
5	Key-person and governance	Medium	High	Strategy and product narrative depend on one executive with outside commitments.
6	Autonomy and product liability	Medium	High	Driver-assistance software faces regulatory scrutiny and claims, noted in the risk factors.
7	Macro and rates	Medium	Medium	10-year yield 5.22% raises financing costs and the discount rate.
8	Concentration in the United States and China	Medium	Medium	72.3% of fiscal 2025 revenue; tariffs and geopolitics affect both.
9	Supply chain	Low	Medium	Battery cells from a small number of suppliers.
10	Cybersecurity and technology	Low	Medium	Connected-fleet and data exposure.

Source: analyst assessment; Tesla Form 10-K fiscal 2025; Tesla second quarter 2026 earnings release.

The three risks most capable of permanently impairing shareholder value are valuation compression, because most of the price rests on unproven businesses; sustained margin erosion in vehicles, because it removes the cash flow that funds the new businesses; and capital misallocation, because capital spending is rising faster than demonstrated returns.

B3. Valuation

Tesla is valued as a growth platform rather than on current earnings. The table shows how that valuation compares with its own history at each year end.

VALUATION MULTIPLES AT YEAR END AND TODAY

Multiple	2021	2022	2023	2024	2025	Now
Share price, USD	352.3	123.2	248.5	431.7	475.2	382.7
P/E, times	216	34	58	212	440	354
EV/Sales, times	20.1	4.6	8.0	14.0	18.5	14.3
EV/EBITDA, times	115	22	57	105	167	138
P/FCF, times	219	52	182	388	287	262

Source: Alpha Vantage weekly adjusted prices; StockAnalysis financial statements and statistics; calculated. Year-end multiples use the last weekly close of the year, year-end shares outstanding and the fiscal year result. Current P/E uses trailing diluted EPS of USD 1.08; P/E, EV/EBITDA and P/FCF today are from the data provider except where noted.

The current EV/EBITDA of 138 times sits between the 2022 trough of 22 times and the 2025 peak of 167 times. Against peers it is 11 to 13 times General Motors and Toyota. Forward P/E is 196 times and the PEG ratio is 10.5, so earnings would have to compound at very high rates for years to reach conventional multiples. The earnings yield is 0.25% and the FCF yield 0.38%, below the 5.22% Treasury yield.

The expectations embedded in the price are Extremely Optimistic. At a ten-year discount rate of 10% to 11% the price requires either a sustained operating margin far above the 16.8% peak on far more revenue than the core business is forecast to reach, or large profit pools from products that do not yet generate revenue. The reverse calculation in section C5 shows that even at 1.5 times base-case growth, a 2035 operating margin of 66 to 78% would be needed from the modelled businesses.

B4. Capital Market and Stock Analysis

PRICE PERFORMANCE TO 9 OCTOBER 2026, PRICE RETURN ONLY

Period	Tesla	S&P 500 ETF	Relative
1 day	2.1%	0.6%	1.5 pts
1 week	3.3%	1.2%	2.1 pts
1 month	8.1%	1.3%	6.8 pts
3 months	(6.1%)	3.4%	(9.5 pts)
6 months	9.7%	15.2%	(5.5 pts)
Year to date	(19.5%)	13.7%	(33.2 pts)
1 year	(11.0%)	17.6%	(28.6 pts)
3 years	46.9%	87.9%	(41.0 pts)
5 years	46.2%	90.1%	(43.9 pts)

Source: Alpha Vantage weekly adjusted close and daily series; StockAnalysis SPY history. Calculated from weekly closes at the nearest date to each horizon, except 1 day and 1 week which use daily and weekly closes. The data provider shows a 52-week change of (12.8%) on a different base date.

Tesla against the S&P 500 ETF, rebased, 9 October 2021 to 9 October 2026



Source: Alpha Vantage weekly adjusted close. Units: index, 9 October 2021 equals 100.

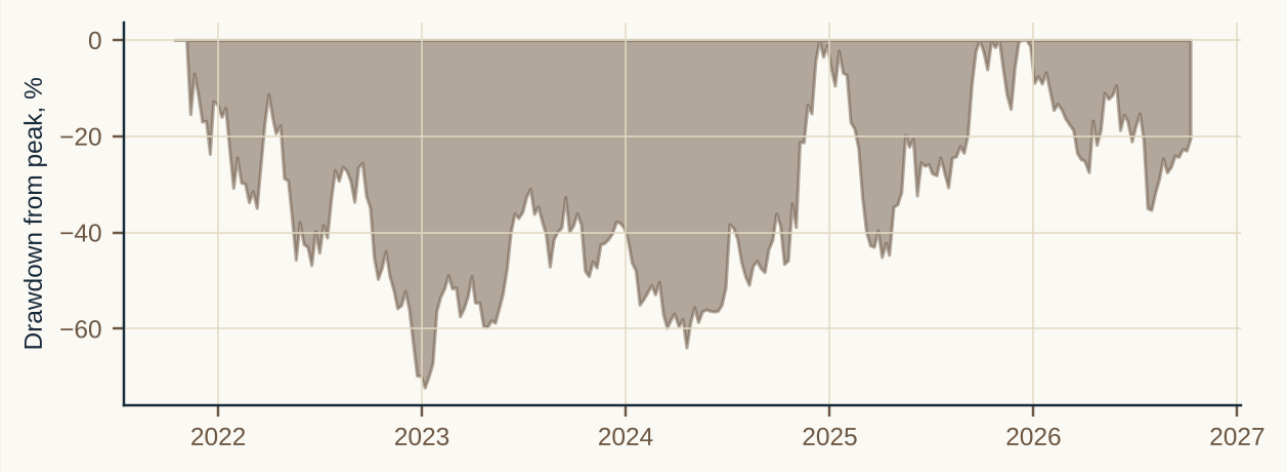
Over five years Tesla has returned 46% against 90% for the S&P 500 ETF, with substantially higher risk. The shares are down 19.5% for the year after closing 2025 at USD 475.2, and fell 14.5% on 23 July 2026 (from USD 374.01 to USD 319.69) after the second quarter results showed margin pressure and negative free cash flow, on volume of 115.6m shares, about three times the usual 35m.

VOLATILITY AND RISK, WEEKLY RETURNS AGAINST THE S&P 500 ETF

Measure	1 year	3 years	5 years
Annualised volatility	39.8%	52.1%	56.9%
Downside volatility	29.4%	32.3%	34.6%
Beta versus S&P 500 ETF	1.84	1.81	1.89
Correlation	0.55	0.50	0.54
Maximum drawdown	(35.3%)	(45.1%)	(72.2%)

Source: Alpha Vantage weekly adjusted close; calculated. Volatility is the standard deviation of weekly log returns multiplied by the square root of 52. The data provider shows a five-year monthly beta of 1.92. The five-year drawdown ran from the late 2021 peak to the January 2023 trough.

Tesla drawdown from running peak, 2021 to 2026



Source: Alpha Vantage weekly adjusted close; calculated. Units: percent below prior high.

Technical structure. The shares closed at USD 382.70, above the 50-day average of USD 354.75 and below the 200-day average of USD 390.61, a recovery inside a longer-term range. The 14-day relative strength index is 55, neutral. The MACD line (5.3) is above its signal line (4.4), showing positive short-term momentum. The 14-day average true range is USD 10.9, or 2.8% of the price. Support lies near USD 345 to 355 (August and September lows and the 1 October close of USD 354.11) and USD

298 (the 29 July closing low); resistance is the 200-day average and the USD 405 to 420 area reached in June and July. Volume on 9 October was 39.0m shares, in line with the recent range. These indicators describe sentiment and timing only; they carry no information about the intrinsic value assessed in section C.

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, USD MILLION, FISCAL YEARS TO 31 DECEMBER

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Revenue	53,823	81,462	96,773	97,690	94,827	103,619
Gross profit	13,606	20,853	17,660	17,450	17,094	19,534
Research and development	2,593	3,075	3,969	4,540	6,411	7,730
Selling, general and administrative	4,517	3,946	4,800	5,150	5,834	7,032
Operating income	6,523	13,692	8,891	7,659	4,355	4,278
EBITDA	9,434	17,235	13,558	13,027	10,503	10,755
Interest expense	371	191	156	350	338	334
Income tax expense (benefit)	699	1,132	(5,001)	1,837	1,423	1,353
Net income to common	5,524	12,583	14,999	7,130	3,794	3,806
Diluted EPS, USD	1.63	3.62	4.30	2.04	1.08	1.08
Diluted shares, million	3,386	3,475	3,485	3,498	3,528	3,537

Source: Tesla annual reports and quarterly filings via StockAnalysis (S&P Global Market Intelligence). Reported under US GAAP; EBITDA is derived by the provider as operating income plus depreciation and amortisation. TTM is the twelve months to 30 June 2026.

Revenue reached USD 97.7bn in 2024 and eased to USD 94.8bn in 2025, as automotive sales fell 9.2% on lower average selling prices and lower regulatory credit revenue, partly offset by energy (up 26.6%) and services (up 19.0%). Growth has been driven by volume and mix in energy and services, with price a headwind in vehicles. Gross profit fell 2.0% in 2025 although the gross margin was stable at 18.0%, so the decline in operating income from USD 7.7bn to USD 4.4bn (down 43%) came entirely from operating expenses growing 30% to USD 12.7bn, of which research and development rose 41% to USD 6.4bn. That is negative operating leverage: costs grew faster than revenue. Margins are contracting, with operating margin down from 16.8% to 4.6% in three years.

The second quarter of 2026 shows a turn in volume but not in profit: revenue rose 26% to USD 28.2bn, but gross margin fell 41 basis points to 16.8% and operating income dropped 57% to USD 398m (1.4% margin). GAAP net income of USD 1.1bn includes a USD 1.0bn unrealised gain on the SpaceX investment; non-GAAP net income was USD 1.15bn, down 17%. Adjusted EBITDA reported by the company was USD 3.3bn (11.6% margin). Management's adjusted figures exclude stock-based compensation and one-off gains and are not treated here as superior to reported figures.

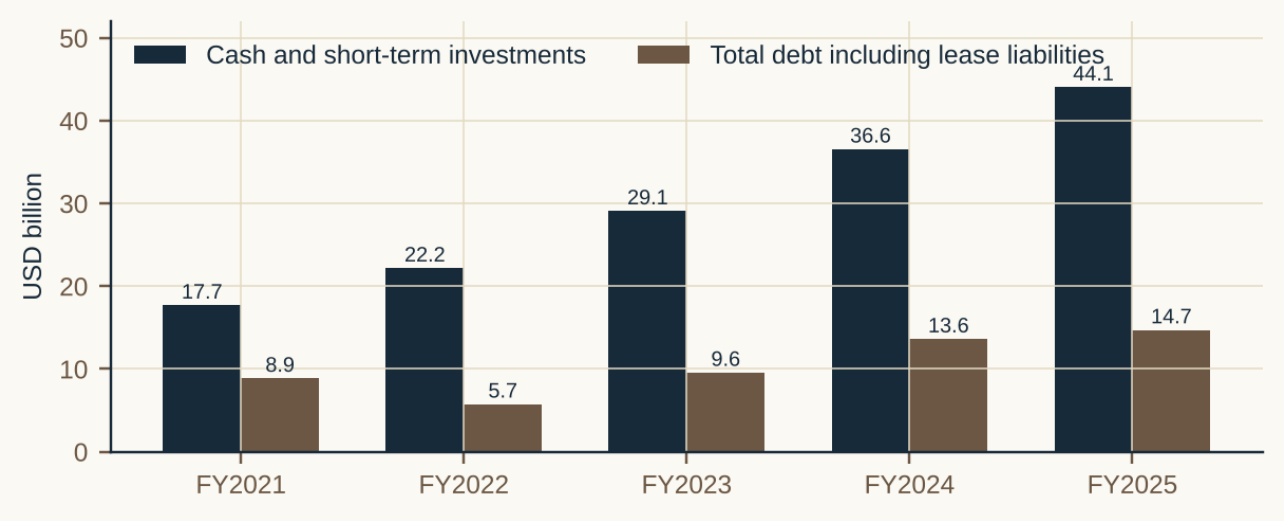
C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION, AT 31 DECEMBER

Item	2021	2022	2023	2024	2025
Cash and short-term investments	17,707	22,185	29,094	36,563	44,059
Receivables	1,986	3,116	3,697	4,570	4,706
Inventory	5,757	12,839	13,626	12,017	12,392
Property, plant and equipment	31,176	36,635	45,123	51,501	56,186
Total assets	62,131	82,338	106,618	122,070	137,806
Accounts payable	10,025	15,255	14,431	12,474	13,371
Total debt including leases	8,873	5,748	9,573	13,623	14,719
Total liabilities	30,548	36,440	43,009	48,390	54,941
Common equity	30,189	44,704	62,634	72,913	82,137
Net cash	8,834	16,437	19,521	22,940	29,340
Current ratio, times	1.4	1.5	1.7	2.0	2.2
Equity ratio	48.6%	54.3%	58.7%	59.7%	59.6%

Source: Tesla annual reports via StockAnalysis. Net cash, current ratio and equity ratio calculated. Total debt includes USD 6.6bn of lease liabilities in 2025. Goodwill was nil at the end of 2024 and 2025.

Cash and debt, 31 December 2021 to 2025



Source: Tesla annual reports via StockAnalysis. Units: USD billion.

The balance sheet is strong. Net cash has tripled in four years to USD 29.3bn, debt is 1.4 times EBITDA and interest is covered 12.9 times by operating income. Working capital is USD 36.9bn and the current ratio 2.2. Property, plant and equipment grew 80% since 2021 to USD 56.2bn, and total assets turned over only 0.7 times in 2025 versus 1.1 in 2022, which shows capital is being added faster than revenue. Inventory of USD 12.4bn equals 58 days of cost of revenue, in line with 2022 to 2024. Receivables are rising slightly faster than revenue (18 days from 14), including USD 1.4bn of long-term receivables. Cash fell by USD 1.2bn to USD 43.5bn in the second quarter of 2026. No refinancing wall is evident, but off-balance-sheet purchase commitments were not retrieved.

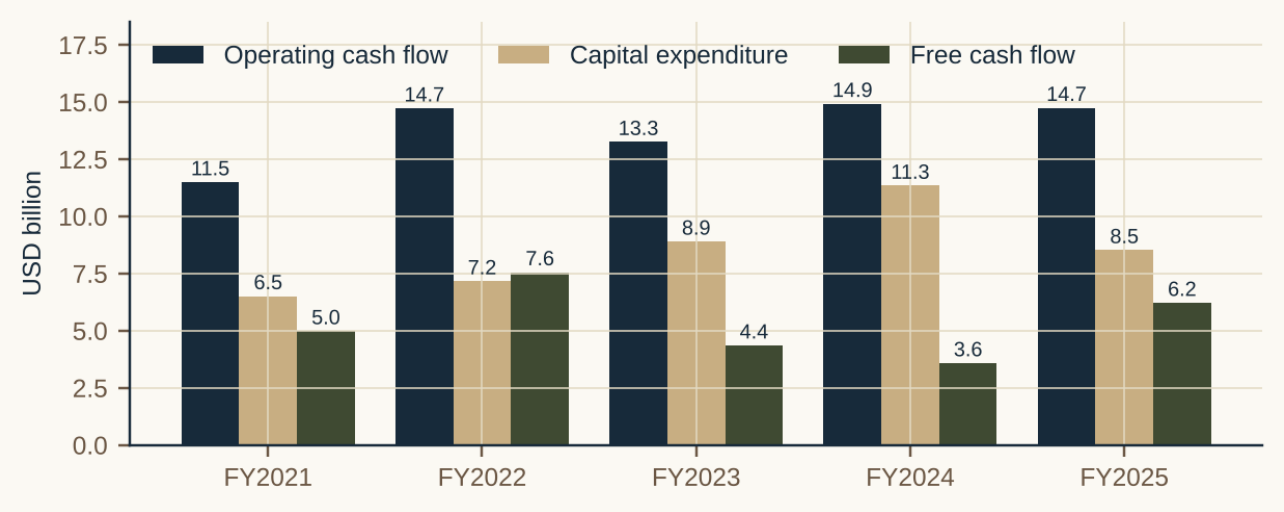
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION, FISCAL YEARS

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Net income	5,519	12,556	14,997	7,091	3,794
Depreciation and amortisation	2,911	3,543	4,667	5,368	6,148
Stock-based compensation	2,121	1,560	1,812	1,999	2,825
Operating cash flow	11,497	14,724	13,256	14,923	14,747
Capital expenditure	(6,514)	(7,163)	(8,899)	(11,342)	(8,527)
Free cash flow	4,983	7,561	4,357	3,581	6,220
Net debt issued (repaid)	(5,732)	(3,866)	2,116	2,863	(64)
Issuance of common stock	707	541	700	1,241	1,186
Financing cash flow	(5,203)	(3,527)	2,589	3,853	1,139

Source: Tesla annual reports via StockAnalysis. Free cash flow is operating cash flow less capital expenditure, calculated by the provider and verified by the analyst. Investment in securities is excluded from capital expenditure.

Operating cash flow, capital expenditure and free cash flow, fiscal 2021 to 2025



Source: Tesla annual reports via StockAnalysis. Units: USD billion.

Free cash flow was USD 6.2bn in 2025, up 73.7% from the 2024 low as capital expenditure fell 24.8% to USD 8.5bn, but free cash flow after stock-based compensation was only USD 3.4bn. Operating cash flow of USD 14.7bn was 3.9 times net income because depreciation (USD 6.1bn), stock compensation (USD 2.8bn) and a USD 4.4bn increase in payables supported cash. Net income does not equal cash generation here: the working capital inflow from payables is not repeatable indefinitely, and payable days fell from 92 in 2022 to 63. In 2026 the pattern turns: second-quarter operating cash flow was USD 4.7bn (up 85%) but capital expenditure of USD 5.8bn (up 142%) produced free cash flow of negative USD 1.1bn. Tesla neither pays dividends nor repurchases shares, so all free cash flow accumulates as cash and supports capital spending.

C4. Forecasting and Projections

The forecast is a conventional operating model for the existing vehicle, energy and services businesses. It does not assign explicit value to robotaxi, humanoid robots or software subscriptions, which are treated as upside optionality.

SCENARIO ASSUMPTIONS, USD BILLION UNLESS STATED

Assumption	Bear	Base	Bull
Revenue 2026 estimate	113	113	113
Revenue growth 2027	8%	17%	28%
Revenue growth 2030	4%	10%	17%
Revenue 2035 estimate	170	283	461
Operating margin 2026	5.0%	5.0%	5.0%
Operating margin 2035	8.0%	14.0%	20.0%
Capex to revenue 2026 and 2035	22% and 7%	22% and 7%	22% and 7%

Source: analyst estimates and assumptions. 2026 revenue of USD 113bn is the analyst assumption, based on trailing revenue of USD 103.6bn, second-quarter growth of 26% and third-quarter deliveries of 486,532. Capex of 22% of revenue in 2026 corresponds to the guidance above USD 25bn.

Revenue drivers are volume in vehicles (deliveries of 480,126 in the second quarter and 486,532 in the third), energy storage deployments (13.5 and 13.7 GWh), and services attach rate. Price and mix are assumed to remain negative in vehicles, so growth in the base case comes from volume and from the energy and services lines. Operating margin recovers in the base case as research spending leverages and the new production lines absorb fixed costs, but remains below the 16.8% peak. Working capital is assumed to absorb 2% of incremental revenue. Maintenance capex is estimated near depreciation (6% of revenue); everything above is growth capex. The sensitivity below isolates the effects of revenue growth and margin on value per share.

SENSITIVITY: 2035 OPERATING MARGIN (ROWS) AGAINST GROWTH SCALE (COLUMNS), VALUE PER SHARE, USD

2035 margin	0.7x growth	1.0x growth	1.3x growth	1.6x growth
8%	16	20	26	33
11%	24	30	39	50
14%	32	41	52	66
18%	42	54	69	87
22%	53	68	86	109

Source: analyst DCF model, WACC 11%, terminal growth 3%. Growth scale multiplies the base-case annual growth rates.

C5. Discounted Cash Flow (DCF) Model

The model discounts ten years of free cash flow to firm (2026 to 2035) plus a terminal value. Assumptions: revenue starts at USD 113bn in 2026; growth, margin and WACC by scenario as in the table in C4; tax rate 21%; depreciation 6.2% falling to 6.0% of revenue; capex 22% falling to 7% of revenue; working capital 2% of incremental revenue; terminal growth 3% with a terminal reinvestment rate of 20% (growth divided by an assumed 15% return on new capital); net cash USD 27.5bn; 3,950m shares outstanding.

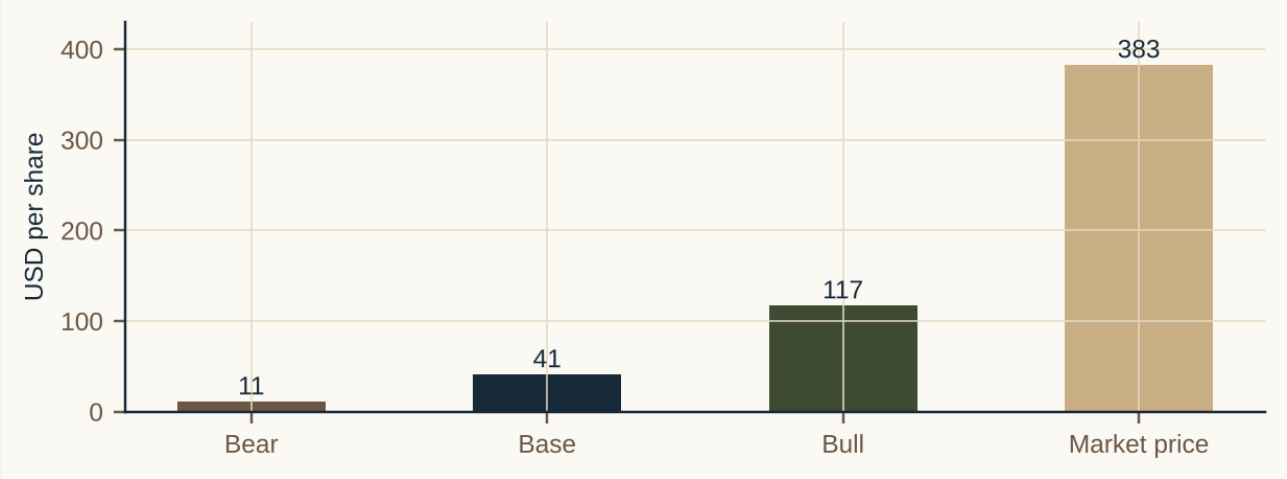
WACC is built from a 10-year Treasury yield of 5.22% (8 October 2026), an equity risk premium of 4.5% and a shrunk beta of 1.56 (raw 1.84), giving a cost of equity near 12%. Debt is under 1% of capital, so WACC is close to cost of equity. A base WACC of 11% is used, the data provider shows 14.65%, and the bull case uses 10% and the bear case 11.5%.

DCF SCENARIO RESULTS

Item	Bear	Base	Bull
WACC	11.5%	11.0%	10.0%
Terminal growth	3.0%	3.0%	3.0%
Enterprise value, USD bn	18	133	434
Net cash, USD bn	27.5	27.5	27.5
Equity value per share, USD	11	41	117
Terminal value share of enterprise value	above 100%	92%	82%

Source: analyst DCF model. In the bear case discounted free cash flows are negative, so the terminal value exceeds enterprise value. Values are illustrative ranges, not price targets.

Modelled value per share by scenario against the market price



Source: analyst DCF model; closing price of 9 October 2026. Units: USD per share.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), BASE CASE VALUE PER SHARE, USD

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
9%	56	58	60	62	65
10%	46	48	49	50	52
11%	39	40	41	41	42
12%	34	34	34	35	35
13%	29	29	29	30	30

Source: analyst DCF model.

The valuation range for the modelled core business is USD 11 to USD 117 per share, with USD 41 in the base case, against a market price of USD 382.70. No combination of WACC and terminal growth in the sensitivity table reaches the market price. Even the bull case, with growth above 20% for four years and a 20% operating margin, supports less than a third of the price. The residual is a claim on businesses not modelled, which investors may value differently. That is a judgement about future events and not a measurable cash flow.

C6. Leveraged Buyout (LBO) Model

Not applicable. At an equity value of USD 1.5 trillion, an operating margin of 4.1% and a trailing EBITDA of USD 10.8bn, no feasible debt package could finance a buyout, and the ownership structure (28.5% insider ownership) makes a sponsor transaction implausible.

D. Investment Thesis

Bull Case

The bull case requires revenue growth above 20% for several years, driven by vehicle volume, a ramp of energy storage and recurring software and service revenue, and an operating margin that recovers to 20% by 2035 as capex falls toward 7% of revenue. In the model this yields revenue of USD 461bn and a value of USD 117 per share on the modelled cash flows; to support the current price on top of that, the market must assign substantial value to autonomy and robotics, plus a continued premium multiple.

Bear Case

Growth slows to 3 to 8%, vehicle price competition holds operating margin at 8%, and capital spending above USD 25bn fails to earn returns, so free cash flow stays negative until 2031. The modelled value is USD 11 per share on the core business. A re-rating of the stock toward the 10 to 25 times EV/EBITDA multiples of other manufacturers would imply a price far below the current one even if profits were to double.

Base Case

Revenue grows from USD 113bn in 2026 to USD 283bn in 2035 (10.8% annual growth), operating margin recovers to 14% and capital intensity falls from 22% to 7% of revenue. That yields USD 41 per share on the modelled cash flows, with the price depending on value attributed to businesses outside the model.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third quarter 2026 results	Expected October 2026	First test of margin and free cash flow after 486,532 deliveries and 13.7 GWh of storage.
Semi, Megapack 3 and Optimus production starts	During 2026	New product lines are the source of the growth that the valuation requires.
Autonomy and robotaxi expansion	2026 and 2027	Evidence of paid, regulated driverless revenue would support software-like margins.
Regulatory credits and tax policy	Ongoing	Credit revenue (USD 2.0bn in 2025) and tax credits affect vehicle margin directly.
Capex guidance changes	Quarterly updates	Guidance above USD 25bn sets the pace of free cash flow.

Source: Tesla second quarter 2026 shareholder update; Tesla Form 10-K fiscal 2025. The date of the next earnings release was not retrieved.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Automotive gross margin ex credits	Core profit engine	Above 17%	Below 15%
Quarterly free cash flow	Funds capex programme	Positive despite capex	Negative for several quarters
Energy storage deployments and margin	Highest-margin segment	Above 14 GWh and 30% margin	Falling deployments
Operating expenses to revenue	Operating leverage	Below 13%	Above 15%
Services and other revenue	Recurring income	Growth above 20%	Growth below 10%
Cash and short-term investments	Balance-sheet buffer	Above USD 40bn	Below USD 30bn
Share count	Dilution	Stable	Further rise above 3.95bn

Source: analyst thresholds, based on the fiscal 2025 and second quarter 2026 results in this report.

E. Final Investment Framework

BUSINESS QUALITY	High. A vertically integrated manufacturer with a growing energy line and services base, but earnings quality has declined since 2022.
FINANCIAL QUALITY	Moderate. Net cash of USD 29.3bn and positive free cash flow, offset by an operating margin of 4.6% and rising capital intensity.
COMPETITIVE POSITION	Moderate to strong. Brand, software and cost structure remain advantages, but total gross margin has fallen from 25.6% in 2022 to 18.0% in 2025.
MANAGEMENT	Mixed. Insider ownership of 28.5% aligns interests; dependence on one executive and a tripling of capex are governance and allocation risks.
INDUSTRY	Mature and transforming. Vehicles are cyclical with price competition; energy storage is growing.
VALUATION	Extremely optimistic. Modelled value of USD 11 to USD 117 against USD 382.70, and EV/EBITDA of 138 times against 5.8 to 24.8 times for peers.
TECHNICAL AND MARKET STRUCTURE	Volatile and range-bound. Annualised volatility of 39.8%, beta of 1.84, price between the 50-day (USD 354.75) and 200-day (USD 390.61) averages.
PRINCIPAL RISK	Valuation compression if new businesses do not reach scale.
PRINCIPAL CATALYST	Evidence of paid autonomous and energy growth together with positive free cash flow despite USD 25bn of capex.
KEY VARIABLE	Vehicle and energy operating margin, which funds both the capital programme and the valuation.
THESIS INVALIDATION	The investment thesis would become materially weaker if trailing operating margin stays below 5% for four more quarters, if free cash flow remains negative for more than two consecutive quarters, if automotive gross margin ex credits falls below 15%, or if cash and short-term investments fall below USD 30bn.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalisation	USD 1.51tn	USD 1.39tn (Dec 2024)	3.9x since Dec 2022
Market	Enterprise value	USD 1.48tn	USD 1.37tn (Dec 2024)	n/a
Market	Share price	USD 382.70	USD 431.70 (Dec 2024)	3Y +46.9%
Growth	Revenue growth	11.8% (TTM)	(2.9%) FY2025	5Y CAGR 15.2%
Profitability	Gross margin	18.9% (TTM)	18.0% FY2025	Down from 25.3%
Profitability	Operating margin	4.1% (TTM)	4.6% FY2025	Down from 12.1%
Profitability	Net margin	3.7% (TTM)	4.0% FY2025	Down from 10.3%
Profitability	ROE	4.9% FY2025	10.5% FY2024	Down from 33.6%
Profitability	ROIC	6.7% FY2025	13.0% FY2024	Down from 43.6%
Cash flow	Operating cash flow	USD 14.7bn FY2025	USD 14.9bn	5Y CAGR 6.4%
Cash flow	Free cash flow	USD 6.2bn FY2025	USD 3.6bn	5Y CAGR 5.7%
Leverage	Net debt / EBITDA	Net cash (2.8x)	Net cash (1.8x)	Net cash throughout
Valuation	P/E	354x	212x (Dec 2024)	3Y range 34x to 440x
Valuation	EV/EBITDA	138x	105x (Dec 2024)	3Y range 22x to 167x
Valuation	P/FCF	262x	388x (Dec 2024)	3Y range 52x to 388x
Market	Beta (1Y / 5Y)	1.84 / 1.89	n/a	Stable
Market	Volatility (1Y / 5Y)	39.8% / 56.9%	n/a	Falling
Market	Maximum drawdown (1Y / 5Y)	(35.3%) / (72.2%)	n/a	n/a

Source: analyst calculations from the sources listed in section G. Operating cash flow CAGR is fiscal 2021 to 2025. Net debt over EBITDA uses fiscal year net cash and EBITDA. Prior-year market capitalisation uses year-end 2024 price and shares outstanding.

G. Sources and Methodology

Data cross-check

Financial statements were taken from StockAnalysis (S&P Global Market Intelligence data) and cross-checked against the Tesla fiscal 2025 Form 10-K summary and the second quarter 2026 earnings release; revenue, segment revenue and net income agreed. Two discrepancies were identified. First, trailing P/E is 397 times on the data provider but 354 times when calculated from reported diluted EPS of USD 1.08; the calculated figure is used in this report because its numerator and denominator are both documented. Second, shares outstanding of 3.95bn in the latest provider data differ from the 3.75bn reported at year-end 2025 and from the 3.54bn diluted weighted average in the income statement; the 3.95bn figure is used for market capitalisation and per-share values because it reconciles to the USD 1.51 trillion market value. Net debt for peers includes captive finance debt, and BYD figures are in Hong Kong dollars. Prices and returns use closes through Friday 9 October 2026.

Source list

Primary Sources

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Calculations

Margins, returns on equity and invested capital, growth rates and compound annual growth rates, working capital days, leverage and coverage ratios, year-end valuation multiples, price returns, volatility, beta, drawdown, relative strength index, MACD, average true range, the scenario forecast and the discounted cash flow model were calculated by the analyst from the sources above.

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